

Master Court Queue Adjudication Docket

Adjudication results across the six active candidates in the court queue: **BELFA**, **ARI**, **SCM**, **FPS**, **STEP**, and **PHAT**. Every candidate has undergone blinded adversarial prosecution (Red Bench) and accounting audit (Blue Bench) grounded in primary SEC 10-Q/8-K filings.

TICKER	NAME / BUSINESS	SPOT PRICE	ADJUDICATED VERDICT	PRIMARY MECHANISM / GATE
BELFA	Bel Fuse Class A (Connectors)	\$210.70	STARTER (GATED)	17.4% discount to Class B; \$102.6M RNCI deducted; 39.9% Gross Margin. Gated on 5y spread band.
ARI	Apollo Commercial Real Estate	\$6.90	FLAT (GATE ≤\$6.35)	\$3.85 initial cash distribution (~56%); \$662M Brooklyn REO carried at cost, not appraisal.
SCM	Stellus Capital (Private Credit BDC)	\$8.65	FLAT (RATE-BETA)	\$717M unhedged floating debt; 100bp rate cut = -\$0.25/sh annual dividend reduction.
FPS	First Philippine Scales (Infra/Power)	\$32.00	FLAT (GATE ≤\$24)	32-34x EBITDA on 304.7M shares; cash conversion is only 17% and falling (EV/OCF ~219x).
STEP	StepStone Group (Wealth Solutions)	\$49.78	REJECT / FLAT	Put formula transfers fixed fraction of company regardless of price; \$2.68B comp liability.
PHAT	Phathom Pharmaceuticals (Voquezna)	\$8.77	REJECT / FLAT	10% synthetic royalty cap \$550M outlives 2032 patent cliff to ~2036; market cap covenant breached.

ACTIONABLE NAMES

The Actionable Sleeve: BELFA & ARI

BELFA — 17.4% DUAL-CLASS ARBITRAGE**STARTER (1.0% Allocation Cap)**

The Trade: Own Bel Fuse voting Class A at \$210.70 against non-voting Class B at \$255.11. Company is growing +25% YoY with 39.9% Gross Margin, zero debt, and \$203.5M unencumbered net cash (\$20/sh).

Execution Gate: Compute 5-year weekly close spread band to verify discount wide point.

ARI — LIQUIDATING CRE STUB ARBITRAGE**FLAT at \$6.90 (Live at $\leq$ \$6.35)**

The Trade: Collect \$3.70–\$4.00 cash dividend (~56% of capital) within 30 days of Sept 29 vote. Hold listed stub with residual cost basis of \$2.90–\$3.20 against \$3.79 book value.

Execution Gate: Enter only if spot $\leq$ \$6.35 (stub basis $\leq$ \$2.50) to protect against Brooklyn REO write-downs.

FATAL KILLS

The Four Avoidance Victories: SCM, FPS, STEP, PHAT

TICKER	OPTICAL BULL NARRATIVE	THE FORENSIC FATAL KILL (PRIMARY EVIDENCE)
SCM	11.6% high-dividend yield trading at 0.68x NAV.	Floating Rate Squeeze: Net floating asset exposure is \$717M against fixed debentures. A 100bp Fed rate cut removes \$0.25/sh in annual NII, gutting the dividend.
FPS	Hyperscaler electrical gear backlog +200%.	Optical Earnings, Zero Cash: 9-month operating cash flow was only \$35.2M on \$210M EBITDA (17% conversion). Trading at 219x annualized operating cash flow.
STEP	Wealth asset platform growing +37%.	Reflexive Dilution: The SPW buy-in formula cancels the share price. Every dollar of SPW growth increases the equity percentage handed to CH Equity.
PHAT	Post-launch drawdown with growing scripts.	Subordinated to 2036: The 10% RIFA royalty hard cap (\$550M) cannot be paid off until 2036—four full years after FDA patent exclusivity expires in 2032.

Queue Health & Next Pipeline Steps

With these six adjudications finalized and logged to the research ledger, the active conveyor moves to the next batch in the pipeline:

- **Africa Frontier Screen:** `CBKD` (Commercial Bank of Kuwait), `MTN.JO` (MTN Group), `PRX.AS` (Prosus N.V.) enqueued for Red Bench prosecution.
- **Velocity Dislocation Batch:** `BETA`, `RH` (Restoration Hardware) undergoing refutability audit.
- **Class Dislocation Sweep:** `GPUS`, `EU`, `MAAS`, `AIOT`, `SEDG`, `DOCU` undergoing initial screen verification.

All adjudications executed non-destructively with immutable SEC primary citations under SignalOS Court Doctrine.